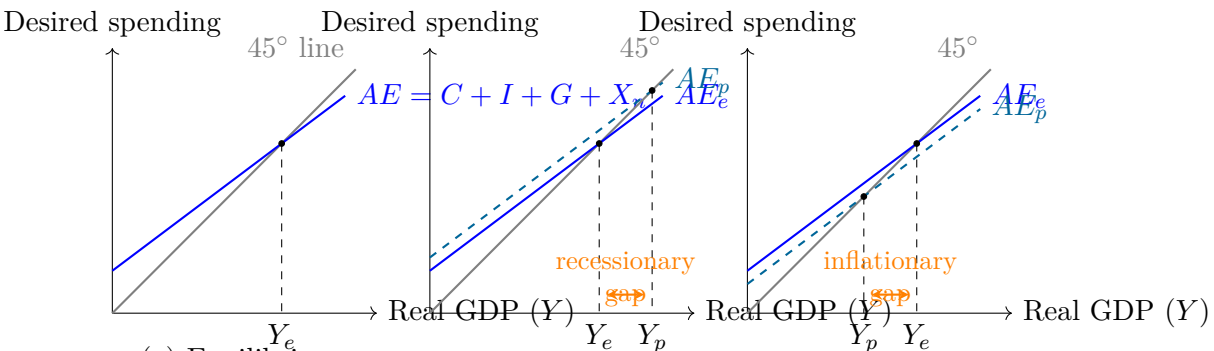

(a) Equilibrium

(b) $Y_e < Y_p$: recessionary (deflationary) gap

(c) $Y_e > Y_p$: inflationary gap